

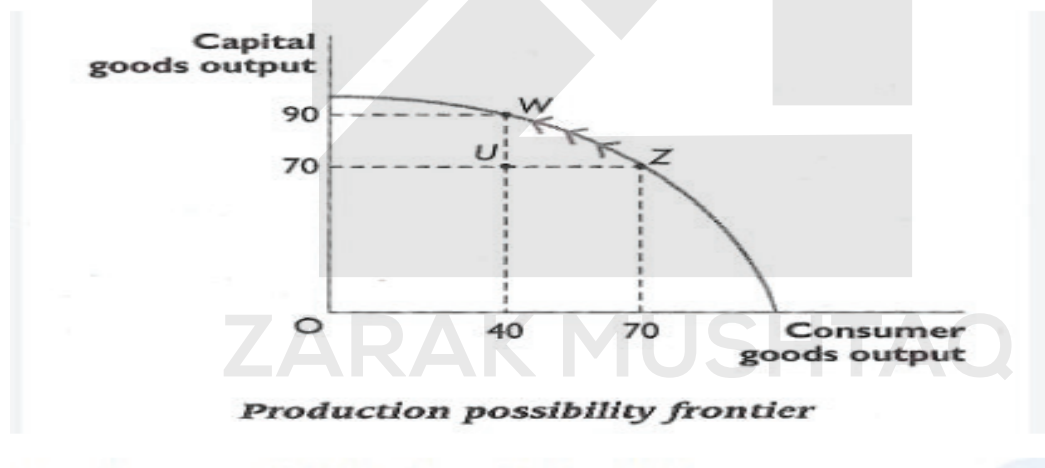
1-D:

A) The faster growth of services than manufacturing: This option represents benefit of growth.

B) The need for an increased level of imported raw materials: This option represents what will be required to achieve growth.

C) The need for greater government intervention: Greater government intervention in an economy does not indicate an opportunity cost of growth.

D) The reduction of consumption if growth requires investment: This option represents an opportunity cost of growth. When resources are directed towards investment **in capital goods for example**, it may result in a reduction in current consumption, **that is, consumer goods will have to be foregone**. The opportunity cost lies in the foregone immediate consumption that could have been enjoyed if the resources were not allocated towards investment. This can be seen in the diagram below.



2-C:

A **positive** economic statement is an objective statement that **can** be tested using factual evidence.

A **normative** economic statement is a subjective statement that **cannot** be tested using factual evidence.

3-B:

A: A bureaucratic system of decision making would slow decision making and would **therefore be a disadvantage to both: producers and consumers , as well, as the system would be inflexible to changes in demand, due to increased bureaucratic intervention.**

B: This option is most likely to be considered an advantage by producers in a planned economy. Capital goods refer to the machinery, equipment, and infrastructure used in the production process. A government's focus on producing capital goods can benefit producers by providing them with necessary tools and resources for production, leading to increased efficiency and productivity.

However, consumers may consider this a disadvantage as it may result in limited availability of consumer goods or services.

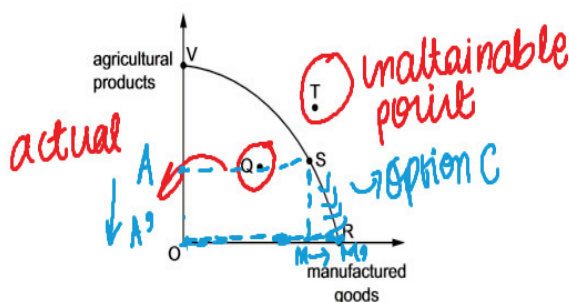
C) A long response time to changing economic events: This option represents a disadvantage for both producers and consumers. In a planned economy, decision-making processes can be slow and inflexible, leading to delays in responding to changing economic events.

D) An absence of financial incentives to work and to produce: This option represents a disadvantage for producers in a planned economy. In the absence of financial incentives, such as **profit motive** , producers may lack motivation to work and produce efficiently. This can lead to reduced productivity, lower quality of goods and services, and limited innovation.

4-A:

ZARAK MUSHTAQ

- 4 A country can produce manufactured goods and agricultural products as shown in the diagram. A- Point "Q" represents actual which shows inefficient utilization of resources. This illustrates a situation whereby resources are idle and unemployed. This is why, A becomes correct



Given this information, which statement is definitely correct?

- ☒ A If the country produces at Q it has unused or inefficiently used resources.
- ☐ B The country should produce at T instead of at Q.
- ☐ C The country would be better off producing at R than S. *No*
- ☐ D The monetary costs are the same to produce at V as they are to produce at R.

B- "T" represents an unattainable point that can not be produced with given resources, which shows "scarcity". This is why, it is incorrect to say that , the country should produce at "T"

C- It is incorrect to say that the country would be better off at producing at R than S. This is because of "increasing opportunity cost" that will be faced , as operating at "R" means that only manufactured goods will be produced, and to achieve the extra output of manufactured goods from "M to M'", more of agricultural goods from A to A' will have to be foregone, as can be seen in the diagram

D- The PPC does not directly present information about production costs, for eg, wage costs.

5-A:

A: As price changes, for example, a rise in price, there will be a "contraction" (less of qty demanded) in quantity demanded. Similarly, upon a fall in price, there will be an "extension" in qty demanded , this is why A will be correct.

B: Although a fall in demand causes a fall in price, this is not "communicated through a downward sloping demand curve", because this represents "the law of demand"

C: Although a rise in demand causes a rise in price, this is not "communicated through a downward sloping demand curve", because this represents "the law of demand"

D: The statement "Quantity changes in proportion to the change in price" suggests a scenario of unitary elastic demand. It implies that the percentage change in quantity demanded is equal to the percentage change in price. In other words, a given percentage increase or decrease in price will lead to an equal percentage increase or decrease in the quantity demanded.

6-C:

A and B: We can not infer anything based relating to income elasticity of demand based on the information of price and total expenditure.

C: In case of unitary elastic demand, a change in price brings an equal proportionate change in qty demanded in the opposite direction ,for example: a percentage increase in price by 10% brings a percentage fall in qty demanded by 10% , leaving Total Expenditure unchanged. This is what can be seen in the graph too that regardless of any changes in prices, total expenditure remains unchanged.

D: In case of perfectly inelastic demand, a percentage change in price for example: a rise in price by 10%, when leaves quantity demanded unchanged, brings about a rise in Total Expenditure by 10%, representing a positive relationship between price and total expenditure , that would have been represented through an “upward sloping curve”

7-D:

A) A decrease in the incomes of consumers: A decrease in consumer incomes would likely **decrease** the overall demand for tea, but it would not necessarily lead to a change in price elasticity. Price elasticity measures the responsiveness of quantity demanded to changes in price, not changes in income.

B) A decrease in the number of complements to tea: Complements are goods that are **jointly demanded commodities** , typically consumed together with tea. A decrease in the number of complements to tea when reduces the supply and leads to a rise in price, would affect the overall demand for tea by reducing it, since there is a negative relationship between the price of one good and qty demanded of another in case of complements, but it would not directly impact the price elasticity of demand.

C) An increase in the amount of tea supplied: An increase in the amount of tea supplied would potentially affect the **price elasticity of supply , and not price elasticity of demand.**

D) An increase in the number of substitutes for tea: This option is correct because an increase in the number of substitutes for tea would likely lead to a higher price elasticity of demand , that is the PED will be more elastic . When more substitutes are available, consumers have more choices and can easily switch to alternative beverages , if the price of tea increases. This increased substitutability makes consumers more responsive to price changes, resulting in a higher price elasticity of demand, thus making this correct

8-C:

$$PES = \frac{\% \text{ change in QS}}{\% \text{ change in price}} \Rightarrow \frac{\frac{250-200}{200} \times 100}{\frac{110-100}{100} \times 100} \Rightarrow +2.5$$

9-B:

A) The product has a high opportunity cost: The concept of opportunity cost refers to the value of the next best alternative foregone when making a choice. Price elasticity of supply measures the responsiveness of quantity supplied to changes in price, not the opportunity cost of production.

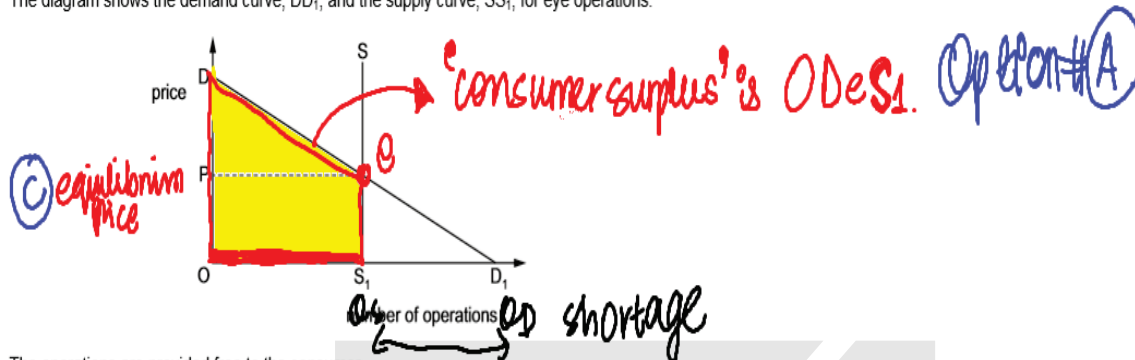
B) The product has a non-perishable nature: This option is correct because the perishability of a product affects its ability to be stored or stockpiled for future use. If a product is non-perishable, suppliers can hold inventory and adjust their supply in response to price changes. This flexibility in storing and adjusting supply contributes to a high price elasticity of supply, **or in other words, the price-elasticity of supply becomes more elastic.**

C) The product is classed as an inferior good: Inferior goods are those whose demand decreases when consumer income increases. Price elasticity of supply focuses on the responsiveness of quantity supplied to price changes, not changes in consumer income.

D) The product is considered to be a luxury: While the classification of a product as a luxury good may influence its price elasticity of demand, it is not related to price elasticity of supply.

10-C:

10 The diagram shows the demand curve, DD_1 , and the supply curve, SS_1 , for eye operations.



The operations are provided free to the consumer.

Which statement is correct?

A Consumer surplus from the operations is ODD_1 .

B The equilibrium price is indeterminate, because the supply curve is vertical.

C The equilibrium price is P.

D The equilibrium price is zero.

Handwritten notes on the options:

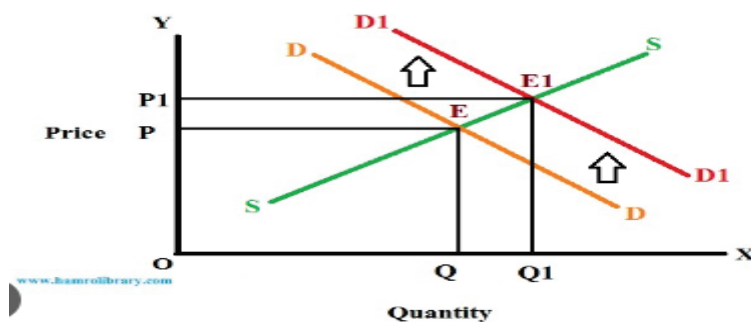
- No, it's P!
- P is not the equilibrium price because quantity demanded is not equal to quantity supplied.

11-B:

A- Based on the information provided, there has been an increase in demand for houses, or in other words, a rightward shift in the demand curve.

B- Yes, this is correct, as a rise in demand, after having created shortages, and putting an upward pressure on price, brings an extension in qty supplied, or in other words, a movement up the supply curve. This can be seen in the diagram below.

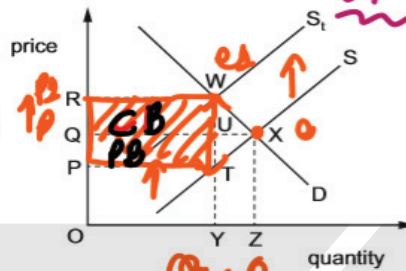
C and D: We do not have any information that could help us deduce "price elasticity of demand"



12-C:

12 A specific tax is placed upon each bottle of perfume sold. In the diagram, S is the supply curve before tax and S_t is the supply curve after tax.

Per unit tax is the vertical distance between the two supply curves

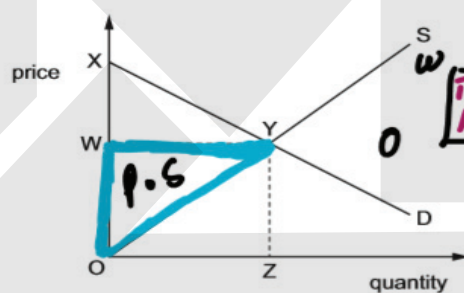


Which area represents the revenue received by the government from the tax?

- A ORWY B PQUT C PRWT D QRWU

13-B:

13 The diagram shows the demand curve and supply curve for a product.



Which area represents producer surplus?

- A OWYZ minus OWY
B OWYZ minus OYZ
C OXYZ minus OYZ
D OXYZ minus WXY

Producer surplus is the difference between the minimum price a producer is willing to accept and the price that he ends up charging, that is, the market price. It is the area above the supply curve and below the market price.

14-A:

A: When market prices are lowered through an effective maximum price legislation, the qty demanded extends, whereas, qty supplied contracts, resulting in shortages being developed, thus making, key A, correct

B: No, price is fixed through a price-ceiling, or in other words, maximum price. It cannot rise from this level, thus making this incorrect.

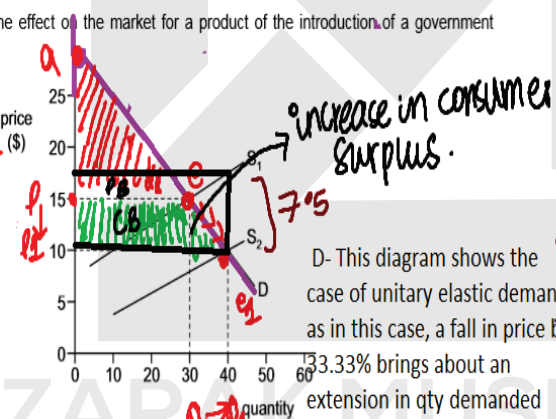
C: With an effective-minimum price, there will be surpluses, which means rationing would not have to be done. Rationing would have only been necessary in case of shortages, arising from an "effective maximum price"

D: Minimum price represents a legally imposed price floor, which shows that at-least a certain level of price will be maintained, prices can rise from this level, but can not fall, thus making this incorrect.

15-A:

15 The diagram shows the effect on the market for a product of the introduction of a government subsidy.

* Old CS: P_{old}
 * New CS: P_{new}
 * Increase in CS in CS (Option A)



D- This diagram shows the case of unitary elastic demand, as in this case, a fall in price by 33.33% brings about an extension in qty demanded by 33.33%, which means that Total expenditure will remain unchanged

What is the result of the payment of the subsidy?

- ☒ A Consumer surplus increases. *yes*
- ☐ B The price to the consumer halves. *no*
- ☐ C The subsidy provides over half of producer income. *no*
- ☐ D Total consumer expenditure on the product increases. *no*

B- Initially, the price was 15 and now, after the subsidy, it is 10, which represents that the price to the consumer does not halve.

C- After subsidy, producer revenue is:
 → Inflow from subsidy + revenue earned from sales
 → $(7.5 \times 40) + (10 \times 40)$
 → $300 + 400 = 700$ Total income
 * subsidy provides less than half of producer's income.

16-B:

A) Retired citizens pay no tax on their pensions: The fact that retired citizens may not pay taxes on their pensions does not necessarily make it a transfer payment. Transfer payments refer to payments made by the government to individuals or households without the expectation of any goods or services being provided in return. Taxation is not directly related to the classification of a payment as a transfer payment.

B) Retired citizens produce no output for their pensions: This option is correct because pensions paid to retired citizens are considered transfer payments precisely because retired citizens are not expected to produce any goods or services in exchange for their pensions. Transfer payments are typically provided as a form of social assistance or support to specific individuals or groups without a direct output or work requirement.

C) Retired citizens save some of their pensions: The fact that retired citizens may save a portion of their pensions does not directly impact the classification of pensions as transfer payments. Transfer payments are based on the idea that individuals or households receive financial support without providing goods or services in return.

D) Retired citizens spend all of their pensions: Similar to the previous option, the spending behavior of retired citizens does not affect the classification of pensions as transfer payments. Transfer payments are defined by the absence of a direct exchange of goods or services for the payment, rather than how the recipients utilize the funds.

17-C:

A) Consumers are not charged a price for its product: This option is incorrect. Nationalized industries can charge consumers a price for their products or services. While the government may have control over pricing and can set lower prices, it does not necessarily mean that consumers are not charged a price.

B) No profit is made from supplying its product: This option is incorrect. Nationalized industries can generate profits. However, in the case of nationalized industries, the profits are reinvested in the industry rather than being distributed to private shareholders.

C) The government owns the industry's capital: This option is correct. Nationalized industries are characterized by government ownership of the industry's capital, including assets, infrastructure, and other productive resources. The government assumes control over the industry's capital, and **takes charge of resource ownership , and resource allocation.**

D) There is no competition in the market for its product: This option is incorrect. While nationalized industries may have reduced competition or operate in a regulated market, it does not mean that there is no competition at all.

18-A:

A) Increasing road maintenance because of poor weather conditions: This option is correct because it represents the direct provision of goods and services by the government. The government takes direct action to provide road maintenance services in response to poor weather conditions. It involves the government directly engaging in the provision of the service.

B) Making payments to low-income families with elderly dependents: This option involves the government providing financial support to low-income families with elderly dependents. While it is a form of government assistance, it does not directly relate to the provision of goods and services.

C) Subsidizing firms to encourage them to increase their output: This option involves the government providing financial support to firms to incentivize them to increase their output. **This is an example of government intervention rather than direct provision.**

D) Taxing firms because they have been emitting damaging fumes: This option involves the government imposing taxes on firms for emitting damaging fumes. While it may be a regulatory measure, it is not an example of the direct provision of goods and services. It focuses on imposing taxes as a means of addressing negative externalities rather than direct provision.

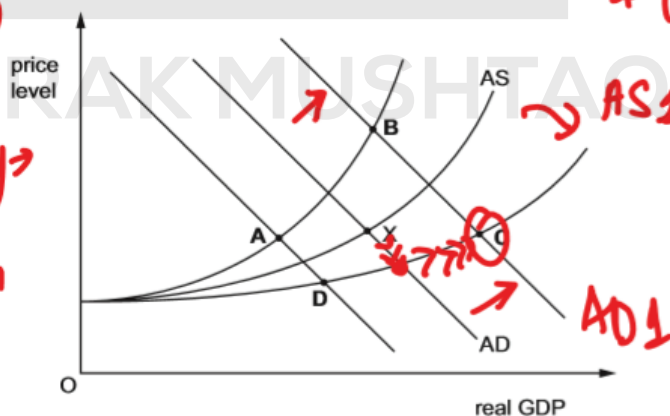
19-C:

19 In its 2016 budget statement, the South African government proposed stimulating business activity by the removal of regulations. It also announced that government expenditure was expected to grow by 7.1%.

The diagram shows aggregate demand (AD) and aggregate supply (AS) for the South African economy. X is the original equilibrium point.

Which new equilibrium would result from the changes?

* Deregulation
* supply-side policy
* Target: increase in AS



20-C:

A) A fall in real incomes: This option is incorrect because a fall in real incomes refers to a decrease in purchasing power, **which may arise as a result of a rise in inflation or increases in cost of living.**

B) A fall in the inflation rate: This option is incorrect because a fall in the inflation rate, **which represents "dis-inflation", means that "prices are still increasing but at a decreasing rate", shows that "there is still a rise in cost of living"**

C) A negative inflation rate: This option is correct because a negative inflation rate, also known as deflation, can cause a fall in the cost of living, as deflation means that prices are decreasing over time.

D) A reduction in direct tax rates: This option is incorrect because while a reduction in direct tax rates can potentially increase individuals' disposable income, it does not represent a decrease in the cost of living. The cost of living is determined by the overall price level in the economy.

21-D:

A- In-order to judge whether all households bought more goods and services in 2010 than in 2008, we will be required to see the real expenditure, that is nominal expenditure adjusted for inflation. In 2010, all households bought lesser of goods and services of about \$855302, as compared to that of 2008, when they bought more of about \$878024.

B- Although in nominal terms, the spending of individuals is greater in 2010 as compared to 2008, this does not specifically represent that households saved more in 2008. Even though, they spent less in 2008, we do not have information about total disposable incomes and changes in the data of incomes, to arrive at any conclusion about "savings"

C: The reason why this is correct can be seen in the calculation below.

• Nominal gdp = gdp at current prices
 • Real gdp = gdp at constant prices (value = 100)

* rate of inflation = $\frac{1}{100} \cdot 33\%$

2009 = $\frac{\text{Real gdp}}{\text{Nominal gdp}} = \frac{846961}{858242} = 100$ $\Rightarrow \pi = 101.33\%$

2010 = $\frac{855302}{900204} = 100$ $\Rightarrow \pi = 105.25\%$

* Rate of inflation = 3.86

D: The standard of living may be relatively higher in 2009 than in 2010, this is because, the rate of inflation in 2009 is relatively lower.

22-B:

22 The table shows trade in goods and services for a selection of countries in 2005 and 2014.

BOT	trade in goods and services (US\$ millions)				Balance of Trade	
	2005		2014			
	exports	imports	exports	imports		
12095	Argentina	46 892	34 797	82 026	79 194	2832
36 444	Brazil	133 055	96 611	264 063	318 799	-54 736
-371	Ecuador	11 480	11 851	28 935	30 215	-1280
-14731	Mexico	230 369	245 100	418 952	433 977	-15 025

* Balance of Trade = Export revenue - Import expenditure

smaller surplus in 2014 than 2005 (A)
Brazil has a surplus in 2005 and a deficit in 2014 (B)
Ecuador has a deficit in both the years (C)
Mexico has a larger deficit in 2014, than in 2005 (D)

What can be concluded about the balances of trade in goods and services from the table?

- A Argentina had a larger surplus in 2014 than in 2005. ☒
- ☒ B Brazil had a surplus in 2005 and a deficit in 2014. correct
- C Ecuador had a deficit in 2005 and a surplus in 2014. ☒
- D Mexico had a larger deficit in 2005 than in 2014. ☒

23-D:

A-Appreciation of the Australian dollar has occurred. This means that when export-oriented goods become relatively expensive, there is a contraction in international qty demanded by a relatively higher percentage when the demand for them is elastic, leading to a fall in export revenues, as a result of which, Aggregate demand reduces. This causes a fall in production, demand for labor and a rise in unemployment in turn, making this option incorrect

B-This is again correct to say that because of appreciation, prices of exported cars would become more expensive.

C – This is also correct that the prices of imported, foreign cars would become less expensive or cheaper due to appreciation

D – This is not an effect as appreciation does not make imported car parts more expensive, instead, it makes them cheaper. Therefore, key D, becomes correct

24-A:

24 The terms of trade for a country have improved.

Which combination of price behaviour would have caused this?

	average price of exports	average price of imports
A	decrease 4%	decrease 6%
B	decrease 4%	unchanged
C	increase 4%	increase 6%
D	unchanged	increase 2%

A- If the average prices of imports decrease by a higher percentage than export prices, this means that, export prices will be relatively higher than import prices, causing terms of trade to improve, making key A correct.

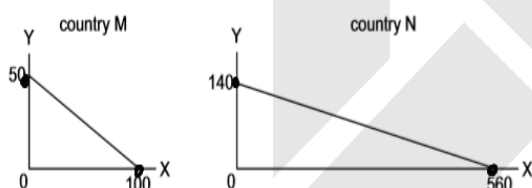
B- If export prices decrease, and import prices stay unchanged, terms of trade will worsen

C- If import prices rise by a relatively higher percentage than export prices, this means that export prices will be relatively lower, causing the terms of trade to worsen

D- Again, if import prices rise, whilst export prices remain unchanged, the terms of trade will worsen.

25-A:

25 The graphs show the production possibilities for commodities X and Y in two countries M and N.



What will be the effect of an agreement between M and N to exchange the commodities at a rate of 1Y for 3X?

- A** Both countries will gain, because their consumption possibilities will increase.
- B Consumers in country M will lose, because a unit of Y will now cost 3X instead of 2X.
- ~~C~~ Neither country will gain, because they both have a comparative advantage in the production of the same commodity, X.
- ~~D~~ Only country N will gain, because N can produce more of both commodities than M.

For countries to benefit from terms of trade, the 'exchange rate' must lie in between the 'opportunity cost ratios' of both the countries.

Country M

Y : X

50 : 100

1 : 2

M has a comparative advantage in Y

Country N

Y : X

140 : 560

1 : 4

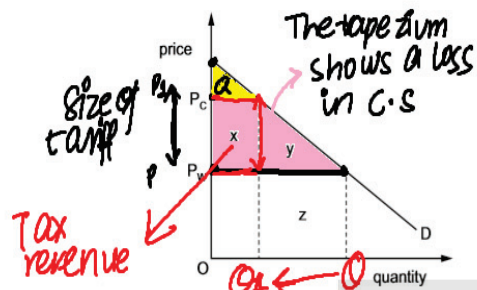
N has a comparative advantage in X

can now be exchanged for 3 imports of X.

26-A:

26 In the diagram, D is a country's demand curve for an imported good.

The country's government imposes an import tariff equal to $P_W - P_C$ on the good.



Initially, $CS = a + x + y$
 New C.S = a
 Loss in C.S = $x + y$

Government revenue = per unit tariff $\times$ quantity of imported goods
 new equilibrium region $\Rightarrow x$

Which areas measure the resulting loss in consumer surplus and the resulting gain in government revenue?

	loss in consumer surplus	gain in government revenue
A	$x + y$	x
B	$x + y$	z
C	y	x
D	y	z

27-B:

Because of export subsidies that represent financial incentives: cash or grant payments given by the government to the producers of exported goods to encourage them to increase their supply, and a resultant surplus leads to a fall in prices of exported goods, which will encourage an extension in qty demanded of exported goods by foreigners by a relatively higher percentage, leading to a rise in export revenues. A rise in export revenues would lead to an **improvement in the Balance of Trade position**

Because of a fall in prices of exported goods due to export subsidies, the **terms of trade**, that is the ratio of export prices to the ratio of import prices, will worsen.

28-A:

Government increasing its expenditure is **representative of "fiscal policy"**

Increased investment on "apprentice training schemes" is aimed to increase the productive capacity of the economy by improving the quality of labor, thus making it a **supply-side policy**

29-B:

A) An increase in expenditure promoting locally produced goods: This option is incorrect. Increasing expenditure on locally produced goods can potentially help reduce a balance of payments deficit. By promoting domestic products, it can decrease imports, thus improving the balance of payments.

B) An increase in the quota on cheap imports : By increasing the quota, which means that previously **200 cars were allowed to be imported, and now 400 cars are allowed in the country**, this means that more cheap imports would be allowed into the country, which can exacerbate the deficit by increasing imports. This is why, this becomes correct.

C) An increase in the restrictions on foreign exchange: By limiting the outflow of currency for foreign goods and services, it can decrease imports and improve the balance of payments.

D) An increase in the subsidies to exporting industries: This option is incorrect. Increasing subsidies to exporting industries can help reduce a balance of payments deficit. By supporting and incentivizing exports, it can increase the inflow of currency, after having increased the demand for competitive exports. This will improve the Balance of Trade position and in turn the current account position, leading to improvement in the balance of payments.

30-D:

- A- An increase in government spending on training, would also contribute to an increase in Aggregate demand, which will further exacerbate the already high inflation levels, which are seen to exceed the target inflation.
- B- Although, an increase in indirect taxes on demerit goods, after having increased prices may affect consumption, leading to reduction in consumption of demerit goods, this does not reduce the consumption of vast majority of goods and services, which means that, it would potentially have less of an effect on Aggregate demand.
- C- An increase in import prices through tariffs, as a part of expenditure switching policy, may switch the expenditure of consumers from imported goods to domestically manufactured goods, and when domestic consumption increases, this will stimulate AD, potentially exacerbating inflationary pressures.
- D- An increase in interest rates after having increased costs of borrowing, would reduce investment expenditure, leading to a fall in Aggregate demand, as a result of which, inflation would reduce, making this correct.